

FinVista Capital

Investment Policy Statement — Version 4.2 (Effective January 2024)

1. Purpose & Scope

This Investment Policy Statement (IPS) establishes the framework, guidelines, and constraints governing all investment activities undertaken by FinVista Capital on behalf of institutional and high-net-worth clients. It applies to all portfolios managed by FinVista's Investment Management division with assets under discretionary management exceeding \$10 million.

2. Investment Objectives

- Achieve absolute returns above the benchmark (60% MSCI World / 40% Bloomberg Global Aggregate) by 150–250bps annually after fees
- Preserve capital during market downturns with maximum drawdown not exceeding 15% over any rolling 12-month period
- Maintain portfolio liquidity such that 80% of assets can be liquidated within 5 business days
- Generate income yield of at least 2.5% per annum for income-oriented mandates
- Achieve ESG score of 70+ (on a 0–100 scale) across all managed portfolios by end of 2025

3. Asset Allocation Framework

The strategic asset allocation is reviewed annually by the Investment Committee. Tactical deviations from strategic weights are permitted within the bands specified below.

Asset Class	Strategic Weight	Min Allowed	Max Allowed	Benchmark
Global Equities	45%	35%	55%	MSCI World Index
Fixed Income — Investment Grade	25%	15%	35%	Bloomberg Global Agg
Fixed Income — High Yield	5%	0%	10%	ICE BofA HY Index
Real Assets (REITS/Infra)	10%	5%	15%	FTSE NAREIT All Equity
Alternatives (PE/Hedge)	10%	5%	15%	HFRI Fund Weighted
Cash & Money Market	5%	2%	15%	SOFR + 10bps

4. Prohibited Investments

The following investment types are strictly prohibited across all managed portfolios unless explicitly approved in writing by the Chief Investment Officer and Risk Committee:

- Unregistered securities and private placements exceeding 5% of any single portfolio
- Leveraged products with potential loss exceeding 100% of invested capital (uncapped short positions)
- Investments in companies on the OFAC Specially Designated Nationals (SDN) list
- Cryptocurrencies and digital assets (until a formal digital asset policy is adopted)
- Single-name positions exceeding 8% of total portfolio market value
- Counterparties with credit rating below BB- (S&P;) or Ba3 (Moody's)
- Derivatives for speculative purposes (hedging only, maximum notional 40% of portfolio)

5. Risk Management Framework

Risk Metric	Limit	Alert Threshold	Review Frequency
Portfolio VaR (95%, 1-day)	≤ 1.5% of NAV	1.2% of NAV	Daily
Portfolio VaR (99%, 10-day)	≤ 5.0% of NAV	4.0% of NAV	Daily
Tracking Error vs Benchmark	≤ 6% p.a.	5% p.a.	Weekly
Maximum Drawdown (12-month)	≤ 15%	12%	Monthly
Sharpe Ratio (rolling 3-yr)	≥ 0.80	0.90	Quarterly
Information Ratio	≥ 0.50	0.60	Quarterly
Liquidity Coverage (5-day)	≥ 80% of NAV	85% of NAV	Weekly
Counterparty Concentration	≤ 15% per CP	12% per CP	Monthly

6. ESG Integration Policy

FinVista Capital integrates Environmental, Social, and Governance (ESG) factors into all investment decisions as of January 2024. The firm uses MSCI ESG Ratings as the primary data source, supplemented by Sustainalytics and proprietary ESG scoring models. Portfolios must maintain a weighted average MSCI ESG rating of BBB or above. Companies rated CCC are excluded from all portfolios. Companies rated B are subject to enhanced due diligence and position limits of 2% of portfolio value.

7. Investment Committee

The Investment Committee (IC) meets weekly on Tuesdays at 9:00 AM EST. Quorum requires at least 5 of 8 members including the CIO. All new investment mandates exceeding \$50M, asset allocation changes exceeding 5 percentage points, and new instrument type approvals require IC approval. Emergency decisions may be approved by CIO + 2 IC members with ratification at the next regular meeting.